

Teladoc Presentation



BY: PRIYAN KANAPURAM, RIYA CHOWDAWARAPU, SOWMYA HEMADRI, ANIKA THAKUR, & ERICA ZHONG

n



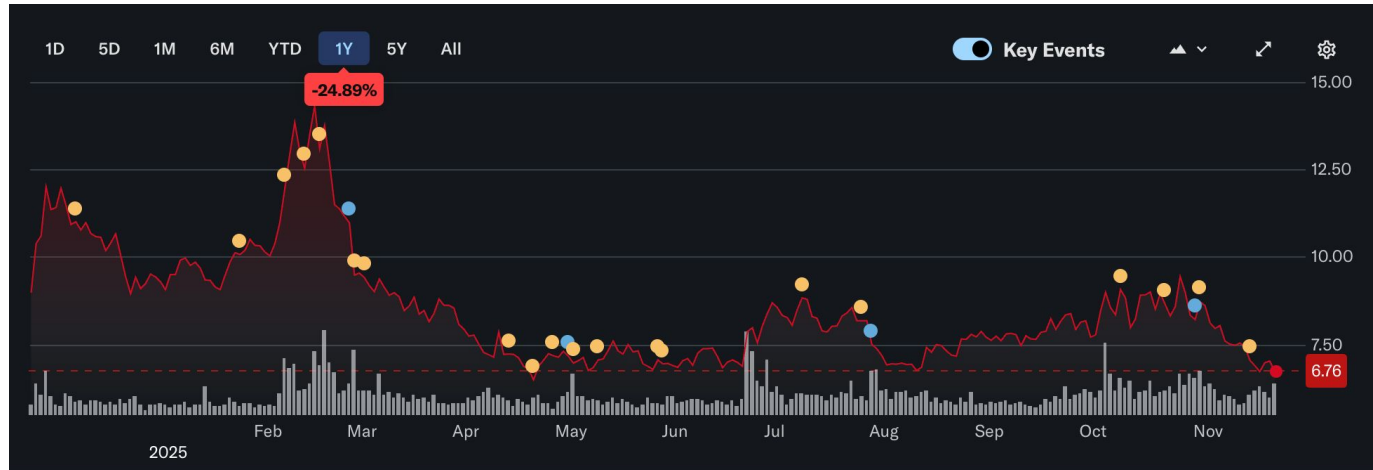
Company Overview



Description

- Multinational telemedicine and virtual healthcare company.
- Mission: Empowering all people everywhere to live their healthiest lives.
- Primary services include virtual telehealth, medical opinions, AI and analytics, telehealth devices & licensable platform services
- Many individuals' insurance companies may cover part or all of their fees, which can be seen in the registration process
- Provides services directly to consumers and through business-to-business (B2B) channels like employers & insurers.

Market Cap: 1.2B
Current Share Price: 6.76
52 Week Range: 6.35 - 15.21





Industry Analysis



Description

- Global telehealth market industry continues to grow
- US Current: 123.26 billion USD
- US Projected: 455.27 billion USD
- Teladoc's competitors:
 - Amwell
 - MDLIVE
 - Doctor On Demand



SWOT



Strengths:

- One of the largest and most established telehealth platforms
- Strong brand recognition in virtual care
 - Strengthened by the acquisition of BetterHelp.
- Large network of providers and enterprise partnerships with employers and insurers

Weaknesses:

- Persistent profitability challenges and high operating expenses despite scale.
- Heavy competition from retail giants (Amazon, CVS), insurers, and startup telehealth providers
- Slower growth after the post-pandemic normalization of virtual care demand.
- Dependence on variable regulatory and reimbursement policies for telehealth across states and insurers.

Opportunities:

- Continued long-term growth in virtual care adoption
- Expansion in higher-margin segments such as mental health and remote patient monitoring.
- Increased integration of AI, predictive analytics, and digital tools
- Potential for deeper partnerships with employers, insurers, health systems, and global providers

Threats:

- Intensifying competition from tech, retail, and healthcare sectors
- Regulatory changes in telehealth licensing
- Potential cybersecurity, data-privacy incidents, or system outages undermining consumer trust
- Economic downturns or insurer cost-cutting



Porter's Five Forces



- 
- **Degree of Competitive Rivalry:** high
 - There are many well-funded digital health providers + incumbent health systems and insurers building in-house capabilities
 - **Threat of New Entrants:** moderate
 - Technical entry is feasible, but scale, regulatory relationships and payer contracts raise the bar
 - **Bargaining Power of Suppliers:** low/moderate
 - Clinicians are the “supply”; while providers are numerous, high-quality psychiatric/therapy capacity can be constrained (esp. for BetterHelp)
 - **Bargaining Power of Buyers:** high/moderate
 - High for large enterprise buyers (employers, health plans) who can negotiate price and favorable terms
 - Moderate for individual consumers (insurance coverage matters)
 - **Threat of Substitutes:** moderate
 - In-person care remains the core substitute
 - Other digital-first chronic-care platforms and retail clinics also compete



Investment Thesis

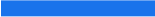


BUY

- **Diversified business model** with stable B2B (Integrated Care) and fast-growing D2C (BetterHelp), giving Teladoc recurring revenue + volume upside.
- **Strategic M&A** (Catapult Health, UpLift) expands capabilities, customer reach, and strengthens competitive positioning.
- **AI integration** improves patient outcomes, reduces clinician workload, and increases scalability + efficiency across all segments.



Risks and Mitigants

- 
- Risk: Teledoc continues to report net losses due to high marketing costs, provider costs, and slower post-pandemic growth.
 - Mitigants:
 - The company has been reducing marketing spending and restructuring costs, improving operating leverage.
 - Enterprise contracts with employers/insurers create stable, recurring revenue compared to volatile consumer demand.
 - Risk: Competitors like Amazon, CVS, Walgreens, and major insurers offer low-cost or bundled virtual care.
 - Mitigants:
 - Large provider networks and embedded employer/insurer relationships increase switching costs.
 - Global footprint diversifies revenue and reduces reliance on U.S. consumer telehealth.
 - Risk: Any rollback of pandemic telehealth flexibilities could reduce usage and revenue
 - Mitigants:
 - Teladoc's compliance infrastructure reduces legal and regulatory exposure.
 - Better Help's large self-pay segment reduces reliance on insurer reimbursement.
 - Risk: COVID-era demand has normalized, slowing growth in low-acuity telehealth visits. Investors now question whether virtual care can return to high-growth levels.
 - Mitigants:
 - Chronic care and mental health services have far higher patient retention and long-term usage than urgent care tele-visits.
 - Employers increasingly adopt virtual care to lower healthcare costs, supporting steady utilization



Income Statement



Income Statement (\$ in millions)	Historical						Projected				
	2019A	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E
Revenue	\$553.307	1 093.967	2 032.707	2 406.840	2 602.415	2 569.574	2 620.965	2 726.804	2 863.144	3 006.301	3 156.616
Cost of Operations	184.465	390.829	650.258	743.987	760.031	751.220	760.080	785.320	815.996	847.777	883.852
Gross Profit	368.842	703.133	1 382.449	1 662.853	1 842.384	1 818.304	1 860.885	1 941.484	2 047.148	2 158.524	2 272.764
margin	66.70%	64.30%	68.00%	69.10%	70.80%	70.80%	71.00%	71.20%	71.50%	71.80%	72.00%
Depreciation, Amortization, & Depletion	39.000	69.495	204.239	256.027	337.071	373.548	336.193	302.574	272.317	245.085	220.576
Accretion											
Selling, general, and administrative	345.688	975.118	1,131.957	1,316.183	1,388.403	1,348.013	1,330.623	1,337.725	1,356.181	1,373.139	1,388.402
Adj. to withdraw liability for pension funds											
(Gain) loss on business divestitures and impairments, net	-342	859	-5.088	-12.674	-4.445	6.035					
Restructuring charges	7.416	16.942	7.416	7.416	16.942	20.355	5.000	4.000	3.000	2.500	2.000
EBIT	-87.858	-523.383	-273.047	-250.487	-248.553	-1,020.888	72.757	25.467	128.837	235.064	345.406
margin	-15.90%	-47.80%	-13.40%	-10.40%	-9.60%	-39.80%	-2.80%	0.90%	4.50%	7.80%	10.90%
Interest Expense	29.355	59.950	80.365	21.944	22.282	23.803	22.000	21.000	20.000	19.000	18.000
Loss from unconsolidated equity method investments											
Loss on extinguished of debt		9.077	43.748								
Interest income	-12.674	-48.782	-57.071	-12.674	-48.782	-57.071					
Other income (expense) net	-342	545	-5.088	859	-4.445	6.035					
EBT	-130.229	-629.550	-415.571	-284.161	-219.608	-983.653	-94.757	4.467	108.837	216.064	327.406
Provision for income taxes	-90.857	44.137	-3.812	760	7.592		670	16.326	32.410	49.111	
Net income	-98.864	-485.136	-428.793	-13.659.531	-220.368	-1,001.245	-94.757	3.797	92.511	183.654	278.295
Attributable to non-controlling interest											
Net income attributable margin	-17.90%	-44.40%	-21.10%	-567.60%	-8.50%	-39.00%	-3.60%	0.10%	3.20%	6.10%	8.80%
Depreciation & Amortization	38.952	69.495	204.239	256.027	337.071	373.548	336.193	302.574	272.317	245.085	220.576
EBITDA	-61.392	-436.926	-61.392	-13,403.316	-648.238	-590.267	281.805	354.738	440.787	501.759	565.691
margin	-11.10%	-39.90%	-3.00%	-557.10%	-24.90%	-23.00%	10.80%	13.00%	15.40%	16.70%	17.90%
Earnings per share											
Basic	-1.38	-5.36	-2.73	-84.6	-1.34	-5.87	-0.44	0.02	0.53	1.06	1.6
Diluted	-1.38	-5.36	-2.73	-84.6	-1.34	-5.87	-0.44	0.02	0.53	1.06	1.6
Shares Outstanding											
Basic	71,844,535	90,509,229	156,939,349	161,457,123	164,578,219	170,564,088	174,000,000	174,000,000	174,000,000	174,000,000	174,000,000
Diluted	71,844,535	90,509,229	156,939,349	161,457,123	164,578,219	170,564,088	174,000,000	174,000,000	174,000,000	174,000,000	174,000,000
Forecast											
Cost of Operations							759.810	783.458	815.550	848.891	883.529
Depreciation, amortization & depletion							336.193	302.574	272.317	245.085	1,330.823
Selling, general, and administrative							1,330.623	1,337.725	1,356.181	1,373.139	1,388.402
R&D							262.096	272.580	286.209	300.520	315.546
Interest Expense							22.000	21.000	20.000	19.000	18.000
Taxes								670	16.326	32.410	49.111

A decorative vertical bar on the left side of the slide, composed of several colored rectangular segments: light purple at the top, blue, green, a thin dark blue line, another green segment, another blue segment, and light purple at the bottom. A short blue horizontal line extends from the top of this bar into the white space of the slide.

Data Box

EV / EBITDA Valuation Summary	
EBITDA	298.5
Multiple	4.72x
Total Enterprise Value	1408.9
(-) Debt	1584.6
(+) Cash	1298.3
Total Equity Value	1122.6
Shares Outstanding	173.4
Implied Share Price	6.47
Current Price (As of dd/mm/yy)	
Upside (Downside)	

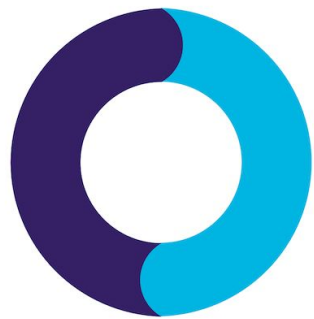
EV / Revenue Valuation Summary	
Revenue	2570
Multiple	1.01x
Total Enterprise Value	2545.2
(-) Debt	1584.6
(+) Cash	1298.3
Total Equity Value	2258.9
Shares Outstanding	173.4
Implied Share Price	13.02
Current Price	7.53
Upside (Downside)	-27.70%



Comparative Competitive Analysis



Company	Ticker	Market Cap (\$MM)	Enterprise Value (EV)(\$MM)	EV/EBIDTA (TTM)	EV/Revenue (TTM)	P/E
Teladoc Health	TDOC	1,336	1,850	11.66X	0.73X	-5.98X
American Well Corporation	AMWL	68.923	-113.83	-0.82X	0.73X	-0.59X
LifeMD	LMFD	248.467	313.95	36.71X	1.28X	-26.20X
Oscar Health	OSCR	5103	2,690	-60.89X	0.25X	-19.69X
GoodRx Holdings	GDRX	1,056	1,830	10.26X	2.29X	38.88X
Average		1562.478	1314.02	-0.616X	1.056X	-2.716X
Median		652.23	1071.98	4.72X	1.005X	-10.14X
High		5103	2,690	36.71X	2.29X	38.88X
Low		68.923	-113.83	-60.89X	0.25X	-26.20X



Questions?